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Stakeholder legitimacy in firm greening and financial performance: What about greenwashing temptations?☆

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Highlights

- Stakeholder legitimacy is antecedent to ESG performance.
- ESG performance has a direct and positive affect on firm net profit margin.
- Firms with low ESG performance are more likely to greenwash.
- Greenwashing is not associated with firm net profit margin.

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Abstract

Stakeholder activism is putting increasing pressure on firms to engage in greening conduct to enhance ESG performance and financial performance. Stakeholders have expectations about the legitimacy of firms' ESG conduct and ESG performance as they relate to financial performance. Using legitimacy theory, we first examine two compelling questions: (1) What legitimate firm practices support ESG performance? and (2) Does ESG performance directly lead to firm financial performance? As firms redefine their aims and pivot to ESG

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conduct, stakeholders are becoming increasingly concerned about the rising incidence of greenwashing. We examine two additional questions: (3) Is there a link between ESG performance and greenwashing? and (4) How does greenwashing affect firm financial performance? We find that stakeholder legitimacy is an antecedent to ESG performance and financial performance. Furthermore, firms with low ESG performance are more likely to greenwash than firms with high ESG performance, though greenwashing does not affect financial performance.

Keywords

Culture; ESG; Greenwashing; Legitimacy; Stakeholder

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Introduction

Stakeholder activism is putting increasing pressure on firms to engage in “greening” or environment, social, and governance (ESG) conduct as a means to enhance their ESG performance and firm financial performance (Stevens, 2021). For example, the Engine No. 1 hedge fund launched an ESG exchange-traded fund in 2020 that focuses on the largest 500 companies in the United States with the objective to hold firms accountable for their ESG goals. This hedge fund began its work by redefining ExxonMobil’s ESG priorities and has continued its greening activism with Deere & Company, Bunge Ltd., and, most recently, General Motors Company. Energy firms are also facing increasing stakeholder pressure to produce sustainable products and clean energy (De Freitas Netto et al., 2020, Vollero et al., 2016). Overall, industry is witnessing growing greening or ESG awareness in society, and consumers are eager for environmentally friendly products that also contribute to firm financial performance (Chen et al., 2021, Cormier et al., 2015).

However, an overwhelming number of studies examining the link between ESG conduct and firm financial performance produce mostly inconclusive findings (Gillan et al., 2021, Lahouel et al., 2022, Lee and Suh, 2022). Friede, Busch, and Bassen (2015) combine the findings of 2,200 individual studies and report more than 90% of studies with a “non-negative” relationship, with the majority of studies showing

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positive findings but little explanations for them. Peloza (2009) reviews research between 1972 and 2009 and shows that 63% find a positive relationship, 14% a negative relationship, and 22% a neutral or mixed relationship. Similarly, Lee and Suh (2022) synthesize this literature following 2015 and find that the majority of studies rely exclusively on analyzing archival panel data, with relatively few attempts to explain the underlying mechanisms related to ESG conduct, ESG performance, and firm financial performance. Lee and Suh suggest a process and integrated approach for modeling pertinent variables surrounding these links.

Therefore, the objective of the current study is to develop and test a process and integrated model examining ESG conduct, ESG performance, and firm financial performance. Our model specification is based on stakeholder legitimacy theory, which proposes societal and cultural influences on organizations that attempt to successfully pivot to ESG conduct (DiMaggio and Powell, 1983, Fernando and Lawrence, 2014). Stakeholder legitimacy “refers to the degree of cultural support for an organisation – the extent to which the array of established cultural accounts provide explanation for its existence, functioning, and jurisdiction” (Meyer & Scott, 1983, p. 201). In the current interconnected business environment, ESG performance depends on a firm’s legitimacy in society – that is, governance and conformity by societal expectations of environmental and social standards (Hasse & Krucken, 2009). Firm practices are not adopted on the basis of efficiency or an optimal input–output balance; rather, they correspond to societal and cultural expectations of ESG (Drempetic et al., 2020, Galbreath, 2013). These expectations are increasingly interested in understanding the relationship among legitimate firm practices, ESG performance, and firm financial performance. We address this interest through two research questions: (1) What legitimate stakeholder practices support ESG performance? and (2) Does ESG performance directly lead to firm financial performance?

As firms redefine their aims and pivot to ESG conduct, stakeholders are also becoming increasingly concerned about the rising incidence of firm communications that intentionally mislead with false ESG claims. This is especially so when firms are unable to achieve their desired level of ESG performance (Torelli, Balluchi, & Lazzini, 2020). Known as “greenwashing,” these communications have a negative effect on consumer confidence, especially in claimed green products, and this can scar, erode, and damage firms’ market share and financial

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performance (Delmas and Burbano, 2011, Torelli et al., 2020). An increasing number of fund managers, shareholders, activists, and concerned consumers are publicly denouncing corporate ESG conduct as simply public relations campaigns (Berrone, Fosfuri, & Gelabert, 2017). Policy makers are similarly concerned about greenwashing (Lyon & Montgomery, 2015). The U.S. Federal Trade Commission released its Guide for the Use of Environmental Marketing Claims or “Green Guides” in 2012, and though it is not mandatory, the commission has filed a greater number of complaints against firms whose claims were considered misleading to a “reasonable consumer” (Ebbs & Schulze, 2021). We explore this issue through two additional research questions: (3) Is there a relationship between ESG performance and greenwashing? and (4) How does greenwashing affect firm financial performance?

Our study specifies constructs for stakeholder legitimacy in ESG conduct, ESG performance, and greenwashing to develop a model for firm financial performance. We explain our justification for collecting ESG and financial data and develop a greenwashing measure for a sample of automotive firms to represent the environment component, technology firms to represent the social component, and food and beverage firms to represent the governance component. We analyze the constructs and measures using partial least squares structural equation modeling (PLS-SEM). The results show that stakeholder legitimacy, as measured by stakeholder satisfaction with firm culture, diversity, work-life balance, management leadership, and compensation, positively affects ESG performance as scored by rating agencies. ESG performance has a direct, first-order, and positive effect on firm financial performance measured by net profit margin standardized for firm size and industry differences. Furthermore, firms with low ESG performance are more likely to greenwash than firms with high ESG performance.

In light of the mostly inconclusive findings in prior research examining the link among ESG conduct, ESG performance, and firm financial performance (Lee & Suh, 2022), we develop and test a process and integrated model using stakeholder legitimacy theory to unpack the stakeholder antecedents that legitimize firms’ ESG conduct and its effects on ESG performance and firm financial performance measures. Extending Lyon and Montgomery, 2013, Torelli et al., 2020 studies, we develop a greenwashing measure and show that, while firms with low ESG performance are more likely to

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greenwash than firms with high ESG performance, greenwashing does not significantly affect firm financial performance.

The rest of this article proceeds as follows: in section 2, we first discuss the links between legitimacy theory and ESG and then develop propositions for testing stakeholder legitimacy, ESG performance, greenwashing, and financial performance relationships. Section 3 details the study context, data, analytical approach, constructs, and measures. Section 4 presents the results. In section 5, we discuss the meaning of our results, present limitations and directions for future research, and note practical and social implications.

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Linking legitimacy theory and ESG

Legitimacy theory maintains that firms must continuously ensure that society perceives them as functioning within its norms (Deegan, 2009). A social contract in the form of expectations is implied between firms and the respective societies in which they operate (Boatright, 2013). According to the theory, “organisations can only continue to exist if the society in which they are based perceives [them] to be operating to a value system that is commensurate with the society’s own value system” (...

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Sample and method overview

To develop and test our research model, we chose three firm sectors (automotive, technology, and food and beverage) with relatively equal weighting in our sample of 39 firms. We chose automotive firms with the environmental component in mind because they are a major industrial and economic force worldwide facing tightening emissions regulation and other country-specific quotas (Lee & Raschke, 2020). We chose technology firms with the social component in mind because companies such as Apple, ...

Results

We employ components-based SEM, more specifically the PLS-SEM technique using WarpPLS 7.0, to simultaneously analyze the measurement and structural relationships in our research model (Kock, 2021). PLS is an ideal method as the nature of our research is exploratory (Hair, Sarstedt, Pieper, & Ringle, 2012) and does not require distributional assumptions with the data (Goodhue, Lewis, & Thompson, 2012). ...

Meaning of results

Our results show that stakeholder legitimacy, as measured by stakeholder satisfaction with firm culture, diversity, work–life balance, management leadership, and compensation, leads to ESG performance as scored by a rating agency. Taking an ESG perspective and expanding on the studies of Paille and Francoeur, 2022, Lee et al., 2016, and Lee and Raschke (2016), we find that when firms successfully demonstrate stakeholder legitimacy, with management focusing on executing a corporate culture such ...

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CRedit authorship contribution statement

Michael T. Lee: Writing – review & editing, Writing – original draft, Resources, Project administration, Methodology, Investigation, Formal analysis, Data curation, Conceptualization. **Robyn L. Raschke:** Writing – review & editing, Software, Resources, Methodology, Investigation, Formal analysis, Data curation. ...

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Declaration of Competing Interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper. ...

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